Peter Rabover, CFA
Portfolio Manager
Artko Capital LP

January 28, 2019

Dear Partner,

For the fourth calendar quarter of 2018, an average partnership interest in Artko Capital LP was down 27.1% net of fees. At the same time, an investment in the most comparable market indexes—Russell 2000, Russell Microcap, and the S&P 500—lost 20.2%, 22.1%, and 13.7%, respectively. For the calendar 2018, an average partnership interest in Artko Capital LP lost 18.6% net of fees, while investments in the most comparable aforementioned market indexes were down 11.0%, 13.1%, and 4.9%, respectively. Our monthly results and related footnotes are available in the table at the end of this letter. Our results this quarter came from contributions from our hedges, Joint Chiropractic and Research Solutions. Broad based pullbacks in the rest of the portfolio companies detracted from the overall performance.

	1Q18	2Q18	3Q18	4Q18	YTD	1 year	3 year	Inception 7/1/2015	Inception Annualized
Artko LP Net	5.5%	5.5%	0.5%	-27.1%	-18.6%	-18.6%	6.3%	25.4%	6.7%
Russell 2000 Index	-0.1%	7.8%	3.6%	-20.2%	-11.0%	-11.0%	7.4%	12.9%	3.5%
Russell MicroCap Index	0.7%	10.0%	0.8%	-22.1%	-13.1%	-13.1%	5.8%	5.9%	1.7%
S&P 500 Index	-0.8%	3.3%	7.6%	-13.7%	-4.9%	-4.9%	8.6%	37.4%	9.5%

On Navigating Through Volatility by Focusing on the Process

"Everyone has a plan until you get punched in the face" – Mike Tyson

The last quarter of 2018 saw the return of extreme volatility and the disappearance of liquidity in domestic equity markets, especially in the nano- and micro-cap space, resulting in bear market trading behavior across all major indexes. Both Russell 2000 and Russell Microcap indexes with median market caps of $814mm and $218mm, were down over 20% during the quarter, and close to 30% off their September 2018 highs by mid-December 2018. A number of stocks of companies in our concentrated Core Portfolio, with a median market cap of $150mm, held up consistently well, including Research Solutions, Joint Chiropractic, Ecology & Environment and Village Supermarkets, remaining flat to down only a few percent. However, our overall performance was impacted by significant drawdowns of 30% to 50% in half a dozen securities across the entire portfolio. We have been expecting a correction for some time and considered the stability of the last few years to be illusionary and unsustainable. However, even we were surprised at the ferociousness and the magnitude of the current bear market, which made our decision to cash out the 5% portfolio gains on our hedges toward the end of October seem imprudent in retrospect. Since September we've seen double digit drawdown months in October and December, while January is on track for a high single digit up month. We expect this market behavior to continue for 2019 and possibly beyond.

While we're dismayed at the price performance of the portfolio this past quarter, we couldn't be more excited about the fundamental performance as most of our companies have delivered outstanding results, in line or better with our expectations. As our Core Portfolio's long-term returns are event- and fundamental results- driven, we continue to expect our portfolio companies to deliver significant growth over the next few years, with secular industry or individual company tailwinds that should be able to overcome potential macro headwinds. While the partnership does not have the type of permanent capital enjoyed by "super investors" like Warren Buffett or Carl Icahn, given the relative illiquidity and the volatility of the markets we participate in, our partnership is structured with long-term commitments from each partner with a weighted average LP commitment of close to 4 years. This allows our business to remain stable and to have a longer term investment focus that can look through bouts of market tantrums and periods of illiquidity.

Although we're probably more sanguine about our portfolio position than most market participants would be and are within the risk limits of our expectations for the portfolio, bear markets certainly require some self-reflection. We continue to refine our investing process, which focuses on quality of companies invested, their opportunity set and valuations within the context of a margin of safety and risk reward framework. One of the steps we like to do regularly is analyze at our portfolio on a consolidated holding company and on a median/average snapshot levels as this allows us to identify holes in the process and rebalance and optimize the portfolio. This process has been well suited for the Core Portfolio, which is approximately 85% of partnership's capital invested in ten companies, has a long-term outlook and focuses on capital preservation:

- Balance Sheet Quality: We continue to be highly allergic to taking on new positions with significant debt loads as we believe small company management teams are less experienced in understanding how to manage the risk within their capital structures (e.g., Hudson Technologies this past year).; with the passing of Tax Cuts and Jobs Act of 2017, which minimizes the interest expense tax deductibility, the returns from leverage are less lucrative; and we believe net cash on the balance sheet presents opportunistic optionality to make lucrative investments relative to leveraged competitors. Our Core Portfolio continues to have excellent balance sheet quality with 9 out of 10 companies with net cash on the balance sheet with a 9% consolidated and median cash position as a percent of market capitalization. Only one of our companies, Viad (VVI) has net debt on their balance sheet at less than 1X Earnings Before Interest Tax Depreciation & Amortization (EBITDA) and below 15% of market capitalization. Viad was a good example of a company that started out with a clean balance sheet that was able to take advantage of its net cash to make a number of very high Return On Invested Capital (ROIC) acquisitions to strengthen their competitive position and immediately began to pay down the debt with its collection of enviable free cash flow generating assets.

- Management Incentivization: As part of our process, we like to seek out companies with management teams or boards that have meaningful financial stakes in the companies they manage or compensation plans that create a pathway for a management team to become wealthy along with shareholders. Small- and micro-cap company management teams tend to be less talented than their larger cap counterparts though much hungrier as they tend to have greater opportunity sets ahead of them so having aligned incentives with our long-term thesis is an important part of the process. At the end of the fourth quarter of 2018, our Core Portfolio's median and average insider ownership is around 20%, which we believe to be a significantly meaningful number as a predictor of future success. Additionally, during the last quarter executives from three companies in our Core Portfolio and five from the overall portfolio have taken advantage of the lower stock prices and have bought stock of their companies on the open market sending another strong confidence signal.

- Profitability Growth: We consider all of our Core Portfolio as investments in going concerns and we invest in them because they offer a likely potential for good growth in revenues and profits in the markets they serve. A number of our companies are at significant inflection points for exponential profitability growth as a function of stepped up revenue growth and scaling operating leverage. We are mindful of potential macroeconomic headwinds, and while a number of our companies are sensitive to the domestic economy, our expectations are driven by industry or company specific factors like market acceptance of new products (e.g., Article Galaxy with Research Solutions or a new Drug Enforcement Administration's (DEA) law on disposal of medical drugs for Sharps Compliance). As a result, on a consolidated basis we expect our portfolio's Free Cash Flow and EBITDA to grow at 300 to 400% by 2021 from 2018 base levels with the median company in our Core Portfolio expected to grow its cash profits at around 200%.

- Valuation and Return on Capital: Growth is an important factor, but it has to be considered in conjunction with a company's valuation and the Cash Flow Returns On Capital (CFROA). More importantly, it's the incremental returns on capital that drive expansion in valuations and where our focus lies. Increased growth with diminishing marginal CFROAs is not as value creating and something we try to avoid. Our Core Portfolio has a respectable median 12% CFROA for 2018 (and 44% on a consolidated holding company level, as a function of Research Solution's insignificant capital base and 10% weighting in the portfolio). We expect this number to expand to close to 30% by 2021 due to increase in profitability and low capital requirements for most of our companies. Out of our ten Core Portfolio companies, six of them have negative or de minimis working capital requirements which will help them to scale their profitability with minimal additional capital investments.

  As an example, Joint Chiropractic (JYNT), a rapidly growing owner and franchisor of over 420 chiropractic clinics with an average of 26% of system wide same store sales growth for 2018, is able to invest $240,000 per clinic, with an incredible breakeven profitability at 6 months, and generate almost $80,000 in operating profit or 25% post tax CFROA by Year 3. Its franchise economics are even better with over $40,000 per clinic by year 3 with almost no capital investments, and an upfront $40,000 franchise fee paid to the company. As a result we expect JYNT, a $105mm Enterprise Value company, with a pipeline of close to 400 additional clinics via its signed but undeveloped licenses and its Regional Developer network commitments to generate over $20mm in Free Cash Flow by 2021, from $3mm in 2018. This should see the company increase its CFROA from 25% in 2018 to over 100% by 2021 with very little additional capital needed to achieve these goals. Furthermore, close to 80% of revenues are subscription based recurring revenues providing additional visibility.

  Looking through 2021, our consolidated Core Portfolio, at the end of 2018, was trading at 3.5X our expected 2021 EBITDA and 4X our expected Free Cash Flow, from about 6.5X and 9X on our expected 2019 numbers. Our Core Portfolio's median and average numbers are similar. While we expect a lot from our companies in terms of future growth and expansion of CFROA, we believe we are well compensated for it, via what we consider to be statistically cheap valuations, as well as private market values for our portfolio holdings.

While not all of these factors are a panacea for guaranteed success, we believe from our experience that they offer a mix of ingredients that when placed together in a closely monitored "oven," i.e. our partnership, and left to "bake" over a multiyear time horizon, have produced significant returns in the past. Weathering a storm requires a strong house, patience and consistency and we believe our portfolio companies and process are in a great position to thrive even through this difficult market environment.

Core Portfolio Additions

- <u>Sharps Compliance (SMED)</u> - We added a 7% position to the Core Portfolio in the $50mm market cap medical waste disposal company. Sharps' core business is collecting and disposing of regulated sharp medical waste such as scissors or needles from veterinary and healthcare providers including dentist offices and pharmacies. Over the last few years Sharps Compliance has invested its margins into buying and green fielding routes that now, along with its legacy direct mail business, cover 55% of the United States, as well as into more disposal facilities. The market disappointment in the time it has taken to roll out the strategy has caused the stock to drop from over $9 per share close to our entry price of around $3.30. We believe that at our entry price and $50mm market cap levels our margin of safety is backstopped by approximately $10mm in Net Working Capital and Cash, the value of its incinerator, which we estimate to be $15mm to $20mm, and the value of its routes at $15mm to $25mm.

While the sharps collection business is dominated by the 800lb guerilla Stericycle, Sharps Compliance targets smaller and medium businesses that are underserved by Fortune 1000 behemoth with 30% cheaper pricing. In late 2017, Stericycle has settled a $300mm class action lawsuit where it admitted it was price gouging its small business customers with as much as an 18% semiannual price increases and engaged in a host of other unethical billing practices. We believe this has presented Sharps Compliance with an opportunity to grow through continued market share expansion. The business has nice secular tailwinds such as healthcare volume growth, aging population and small business cost pressures as well as certain regulatory barriers to entry. However, we are more excited about the opportunity in the unused medication space, a nascent but potentially a billion dollar market. Sharps is currently the leader in this market with 3,000 installed MedSafe liners which are source of growing recurring revenue. Long term, we see this business with potential for a few hundred thousand installations for Sharps which average six to twelve pickups a year at close to a $150 per pick up. Additionally, the recent passage of California SB 212 Law presents Sharps Compliance with a $150mm to $200mm revenue opportunity beginning in 2021. The law requires manufacturers of drugs or medical sharps to develop and implement a statewide pharmaceutical and sharp stewardship plan for the collection and disposal of home generated pharmaceutical or sharps waste. While we don't expect Sharps with a $45mm revenue base to take a majority of this business on, even a small percentage win in this space will be a significantly meaningful number with high marginal contribution to the bottom line.

Our thesis is based on Sharps continuing to deliver on its very leverageable business model with growing operating margins and cash flows and the market bringing the stock back to its recent trading levels, close to $10 per share. Sharps is a good prototype of the investment we look for the Core Portfolio: strong balance sheet, incentivized management that has a piece of the company, increasing ROICs and a stable, recurring revenue core business. We were particularly impressed with the CEO, David Tusa and his vision for the company and long-term oriented approach. The low downside/high uncertainty/high upside, risk reward profile is something we continue to be attracted to and we're looking forward to seeing what Sharps can do over the next few years.

Enhanced Portfolio Additions

- Acorn Energy (AFCN) - We added a 2% position in an $8mm market cap company. The company has $1.7mm in cash and an additional $2mm in Net Working Capital as well as over $60mm in Net Operating Losses carryforwards (NOLs). However, its main asset is its 80% ownership in Omnimetrix, a company that specializes in monitoring and control for standby generators, air compressors and gas pipelines.

  Omnimetrix has a $6mm revenue base with over 60% gross margins, split between hardware and higher margin recurring revenue monitoring services. Both have been growing by double digits. The company has a solid market position in the standby generators and air compressors market, however, what really excites us is the potential for the pipeline business. Physically monitoring pipelines for malfunctions is an expensive proposition, and Omnimetrix's high ROIC product proposition is an excellent solution to extend the life of the aging global oil and gas pipeline network. The company CEO, Jan Loeb, with 5% ownership, has cut over $2.5mm in costs and turned around operations to pay down the company's debt and become cash positive. While the company is currently running breakeven, its high growing revenues should provide significant marginal contribution going forward. The company has a high, $1mm, corporate expense base which would be eliminated in any acquisition scenario with a number of potential strategic acquirers. The company is trading at a tiny fraction of its close Internet of Things (IoT) competitors at less than 1X revenues, and we think its true value is somewhere closer to $1.00 per share from $0.28 today, while its current cash, NOLs and low Omnimetrix valuation provide a nice margin of safety at today's prices.

- USA Technologies (USAT) - We added a 3% position in our former Core Portfolio holding. If you recall while it was a successful investment for us in the past, we felt the senior management of the company was dishonest and incompetent and exited our position around $5.50 per share in the third quarter of 2017. Since then the company acquired Cantaloupe Systems, a provider of cloud and mobile solutions for vending, micro markets, and office coffee service, in a transaction valued at approximately $85 million which along with organic growth almost doubled its connection base with close 1mm connections. Late last year the company has announced an accounting investigation which caused its stock to plunge close to 80% from $16.85 to below $4.00 per share where we got interested and started picking up shares at price levels where we had signaled our willingness to do so in the past.

  In January 2019 the company announced preliminary results for its investigation which affected less than 3% of revenues due to the aggressive sales culture within the company and a lack of proper internal controls. Most of the management has been let go, though to our disappointment, the CEO Stephen Herbet, while somewhat neutered with an addition of a COO position and an independent Board Chairman, was allowed to keep his job. We have no illusions about what we consider to be a high-risk position. However, we believe the value of the asset, as the complete solution to payment processing in the unattended commercial market, with significant market share and a still barely penetrated market, is significant. This asset would be much better managed in the hands of more professional industry participants such as First Data, Global Payments or Euronet and we estimate its strategic acquisition value to be in the $12-14 range. The next year should be interesting as we believe the filing of audited financial statements will bring significant interest from activist investors and the aforementioned industry participants. Our binomial expectations are for the company to either stay at current volatile $3-$5 price levels or appreciate to our price target with the help of more vocal and larger investors and consistent results. We will continue to monitor this position closely and have an open mind with respect to our thesis which we are willing to change with additional news flow to increase or exit the investment.

Enhanced Portfolio Sales

- Premier Exhibitions (PRIXQ) - We sold the remainder of our interest in the equity of Premier Exhibitions, the bankrupt owner of salvaged assets and rights to exhibit items from the famous Titanic ship wreck. While we considered the exhibition company to be worthless, our investment was that the assets which were valued by global auction houses at 20-30X the equity value would eventually be sold off in liquidation. In the end, the lengthy and contentious bankruptcy process was mismanaged and the same incompetent management was able to secure financing to buy the company as a going concern through a process that left almost nothing to the equity holders. While the results and the 80% loss were disappointing, they were not unexpected and we believe we sized the investment appropriately at approximately 2% of the portfolio as an option with a high risk and reward.

Other Portfolio Updates

- Spartan Motors (SPAR) - Our investment in Spartan Motors, a 9% holding, was down almost 50% since end of September 2018 and 63% from it 52-week high. This was our worst performing Core Portfolio position this quarter that deserves a mention. During the 3rd quarter call the company took the markets by surprise by announcing a significant miss as well as a lowering its profit guidance for 2018. As a reminder, Spartan Motors is an assembly manufacturer for last mile delivery vans, fire trucks and chassis for high end RV buses. Our investment in the company is based on a high growing market in last mile delivery vans, a light capital assembly model, significant operational improvement potential and a well incentivized and reputable CEO, Daryl Adams. Since our investment in mid-2017 the company has hit our investment thesis firing on all cylinders showing significant growth in its end markets and continued operating profitability improvements. However, during the last two quarters Spartan's supply chain was affected by the current ongoing trade issues, with critical domestically manufactured components becoming unavailable due to increased demand from customers that hereto sourced them internationally. While the "just-in-time" manufacturing model is a fantastic source of increased ROICs, cash flows and margins, the risk to this type of business model is that a small glitch can significantly affect the bottom line which was the case here, as the company was forced to suspend operations for almost two weeks. Additionally, the company did not have contracts in place to pass through the increased material costs which was a bigger worry for us.

  The results and the 40% stock drop on the day were certainly worrisome, but our assessment of the situation was that of a mistake and an extreme overreaction by a jittery and illiquid market. The demand drivers for the business are still showing significant strength, with major logistics companies ordering the last mile vans significantly ahead of their usual schedule and the company has changed its contract policy to include pass through material increases. Both the company and the CEO have taken advantage of the significant stock drop and began purchasing stock on the open market. We've also added more to our position at the significantly lower prices as we believe the intermediate term goal of a $100mm EBITDA number for the sub-$250mm Enterprise Value company is still achievable and the company's valuation implied zero to negative growth even on depressed near term profitability. We expect near term volatility to be high and will continue to monitor the company and management closely but our overall feeling is one of excitement of being able to pick more shares at low prices.

Market Outlook and Portfolio Commentary

The willingness of the executive branch of the United States to inject major uncertainty into the three pillars of stability of our domestic economy: trade, fiscal and monetary policies, as well as creating outright chaos in the energy market has come at a high price for the market participants over the last quarter. The S&P 500, Russell 2000, and the Russell Microcap, the three indexes we track regularly, at their December lows were down as much 20%, 27% and 30% from their recent highs. The markets can handle uncertainty in one, or even two areas, but with the executive branch creating chaos with reckless abandon in all of them is a risk that most market participants have to now seriously price in but don't know how to estimate its true cost potential. While we believe the economy is still robust, unclear signals from the Fed and the executive branch have made our economy more susceptible to policy mistakes and the market to more volatility and corrections, with signs of a potential global slowdown popping up. We are currently not expecting a recession but given the uncertainty of the aforementioned policy issues we are seeing signs of major consumer and investment decisions being pushed off into the future, with a possibility of sub 1% economic growth environment in 2019 and beyond, not unlike during the industrial recession between 2015 and 2016.

With the small-cap markets blowing off significant steam at the second half of 2018, the 27.3% high-to-low drawdown in the Russell 2000 now ranks as the 8th worst out of the 19 double-digit, high-to-low, drawdowns in the 40-year history of the small cap index. Within the index, 89% of the companies had a negative fourth-quarter return. Compare that to 2008's historic fourth quarter, when "only" 87% of the companies finished negative. Just three other quarters exceeded that 89% figure historically. The current drawdown has already reached below the historical average and median drawdown numbers of 25.2% and 23.8%, which include the tech bubble pop of 2000 (-46%) and the Great Recession of 2009 (-60%). The good news is that it appears statistically speaking the current drawdown during somewhat decent economic environment and relatively benign valuations may be close to stabilization though not without significant volatility ahead. Even better news is that historically, the Russell 2000 has returned 80% to 100%, hitting a new peak, within a year and a half to two years of hitting bottom.

The stock market is volatile and sometimes you have to take 3 steps back to take 10 steps forward. Taking those steps back can seem like a scary experience at the time, but that's exactly what it is: part of the experience. Given how enthusiastic we are about the aforementioned portfolio fundamentals and the long term market trends we couldn't be more excited to be positioned where we are today. We are actively researching our watch list companies, adding to our own portfolio companies and view the current market conditions full of fear and uncertainty to be an excellent stock picking environment for patient long term capital.

Partnership Updates

We welcomed three new partners to the partnership this quarter, bringing our total to 38 at the end of December. As is annual tradition we will be having our partnership dinner on February 25, 2019 in San Francisco. Last year's event was well attended and very fun and we look forward to seeing all of you again this year. Please be on the lookout for invitations in the next week. We are excited about the continued growth in partners and assets under management and as always are thankful for your business.

Next Fund Opening

Our next partnership openings will be March 1, 2019, and April 1, 2019. Please reach out for updated offering documents and presentations at info@artkocapital.com or 415.531.2699

Appendix: Performance Statistics Table

	Artko LP Gross	Artko LP Net	Russell 2000 Index	Russell MicroCap Index	S&P 500 Index
Jul-15	2.1%	1.7%	-1.2%	-3.2%	2.1%
Aug-15	-3.7%	-3.7%	-6.3%	-5.4%	-6.0%
Sep-15	1.6%	1.4%	-4.9%	-5.8%	-2.5%
Oct-15	1.7%	1.5%	5.6%	5.4%	8.4%
Nov-15	4.1%	3.3%	3.3%	3.8%	0.3%
Dec-15	0.2%	0.0%	-5.0%	-5.2%	-1.6%
Jan-16	-5.2%	-5.4%	-8.8%	-10.4%	-5.0%
Feb-16	0.9%	0.8%	0.0%	-1.5%	-0.1%
Mar-16	8.9%	7.5%	8.0%	7.1%	6.8%
Apr-16	1.4%	1.1%	1.6%	3.2%	0.4%
May-16	3.5%	2.7%	2.3%	1.3%	1.8%
Jun-16	2.3%	1.8%	-0.1%	-0.6%	0.3%
Jul-16	12.4%	10.0%	6.0%	5.2%	3.7%
Aug-16	0.5%	0.4%	1.8%	2.7%	0.1%
Sep-16	0.1%	0.1%	1.1%	2.9%	0.0%
Oct-16	-1.5%	-1.3%	-4.8%	-5.7%	-1.8%
Nov-16	13.5%	11.0%	11.2%	11.6%	3.7%
Dec-16	1.8%	1.4%	2.8%	4.6%	2.0%
Jan-17	-2.2%	-2.3%	0.4%	-1.5%	1.9%
Feb-17	2.3%	2.2%	1.9%	1.0%	4.0%
Mar-17	-3.4%	-3.5%	0.1%	0.9%	0.1%
Apr-17	2.7%	2.7%	1.1%	1.0%	1.0%
May-17	0.1%	0.1%	-2.0%	-2.3%	1.4%
Jun-17	6.6%	5.4%	3.5%	5.2%	0.6%
Jul-17	3.4%	2.7%	0.7%	-0.6%	2.1%
Aug-17	-2.0%	-1.7%	-1.3%	-0.8%	0.3%
Sep-17	1.1%	0.9%	6.2%	8.2%	2.1%
Oct-17	1.2%	0.9%	0.9%	-0.2%	2.3%
Nov-17	1.2%	0.9%	2.9%	2.5%	3.1%
Dec-17	2.8%	2.3%	-0.4%	-0.5%	1.1%
Jan-18	5.9%	4.8%	2.6%	2.5%	5.7%
Feb-18	-2.6%	-2.2%	-3.9%	-3.2%	-3.7%
Mar-18	3.6%	2.9%	1.3%	1.5%	-2.5%
Apr-18	0.6%	0.4%	0.9%	1.3%	0.4%
May-18	5.9%	4.8%	6.1%	7.2%	2.4%
Jun-18	0.4%	0.2%	0.7%	1.3%	0.6%
Jul-18	-1.1%	-1.0%	1.7%	-0.1%	3.7%
Aug-18	-0.7%	-0.7%	4.3%	4.3%	3.3%
Sep-18	2.6%	2.1%	-2.4%	-3.3%	0.5%
Oct-18	-14.2%	-12.6%	-10.9%	-10.9%	-6.8%
Nov-18	-6.3%	-6.4%	1.6%	-0.6%	2.0%
Dec-18	-10.9%	-11.0%	-11.9%	-12.1%	-9.1%

	Artko LP Gross	Artko LP Net	Russell 2000 Index	Russell MicroCap Index	S&P 500 Index
YTD	-17.3%	-18.6%	-11.0%	-13.1%	-4.9%
1 Year	-17.3%	-18.6%	-11.0%	-13.1%	-4.9%
3 Year	10.7%	6.3%	7.4%	5.8%	8.6%
Inception 7/1/2015	43.9%	25.4%	12.9%	5.9%	37.4%
Inception Annualized	10.9%	6.7%	3.5%	1.7%	9.5%
Monthly Average	1.0%	0.6%	0.4%	0.3%	0.7%
Monthly St Deviation	4.9%	4.4%	4.6%	4.9%	3.4%
Correlation w Net	-	1.00	0.79	0.77	0.68

Legal Disclosure

The Partnership's performance is based on operations during a period of general market growth and extraordinary market volatility during part of the period, and is not necessarily indicative of results the Partnership may achieve in the future. In addition, the results are based on the periods as a whole, but results for individual months or quarters within each period have been more favorable or less favorable than the average, as the case may be. The foregoing data have been prepared by the General Partner and have not been compiled, reviewed or audited by an independent accountant and non-year end results are subject to adjustment.

The results portrayed are for an investor since inception in the Partnership and the results reflect the reinvestment of dividends and other earnings and the deduction of costs, the management fees charged to the Partnership and a pro forma reduction of the General Partner's special profit allocation, if applicable. The General Partner believes that the comparison of Partnership performance to any single market index is inappropriate. The Partnership's portfolio may contain options and other derivative securities, fixed income investments, may include short sales of securities and margin trading and is not as diversified as the indices, shown. The Standard & Poor's 500 Index contains 500 industrial, transportation, utility and financial companies and is generally representative of the large capitalization US stock market. The Russell 2000 Index is comprised of the smallest 2000 companies in the Russell 3000 Index and is generally representative of the small capitalization U.S. stock market. The Russell Microcap Index is comprised of the smallest 1,000 securities in the Russell 2000 Index plus the next 1,000 securities (traded on national exchanges). The Russell Microcap is generally representative of the microcap segment of the U.S. stock market. All of the indices are unmanaged, market weighted and reflect the reinvestment of dividends. Due to the differences among the Partnership's portfolio and the performance of the equity market indices shown above, however, the General Partner cautions potential investors that no such index is directly comparable to the investment strategy of the Partnership.

While the General Partner believes that to date the Partnership has been managed with an investment philosophy and methodology similar to that described in the Partnership's Offering Circular and to that which will be used to manage the Partnership in the future, future investments will be made under different economic conditions and in different securities. Further, the performance discussed herein does not reflect the General Partner's performance in all different economic cycles. It should not be assumed that investors will experience returns in the future, if any, comparable to those discussed above. The information given above is historic and should not be taken as any indication of future performance. It should not be assumed that recommendations made in the future will be profitable, or will equal, the performance of the securities discussed in this material. Upon request, the General Partner will provide to you a list of all the recommendations made by it within the past year.

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